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IndiaKart E-Commerce Analytics Project

Phase 4: Management Summary Report

Prepared for: CEO, IndiaKart
Reporting period: 24 June 2023 - 23 June 2025 (24 months; the first and last months are partial)
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Basis: 50,000 orders, 10,000 customers and 1,000 products. Values in Indian Rupees (₹); 1 bn = 1,000 million.

1. Executive Summary

Between 24 June 2023 and 23 June 2025, IndiaKart received ₹3.15 bn of orders (GMV) across 50,000 orders, of which ₹2.05 bn (65.3%) became Net Revenue from delivered orders. The business is large but flat: across the 22 complete months from August 2023 to May 2025, monthly GMV grew by an average of only 0.51%, with sharp swings, and no Diwali-season spike is visible. Revenue leans on Electronics (57.41% of category revenue), just below the 60% concentration threshold, with Sports & Fitness (17.38%) the only other category above 10%. Five of the six KPIs that carry a benchmark miss it: cancellations (11.99% vs below 10%), payment failures (3.50% vs below 2%), inventory fill rate (92.20% vs above 95%), return rate (30.77% vs below 8%, a figure that still needs validation) and Premium-to-Regular customer value (1.47x vs about 3x). Only category concentration is within its limit, and by just 2.59 percentage points. Management priorities are to validate and reduce returns, find the causes of cancellations and payment failures, restock 76 low-stock products, and reduce dependence on Electronics.

Key KPIs at a Glance

KPI	Actual result	Benchmark	Interpretation
Gross Merchandise Value (GMV)	₹3,147,385,545 (₹3.15 bn)	-	Value of all orders placed, every status
Net Revenue	₹2,053,858,612 (₹2.05 bn)	-	65.3% of GMV; 32,499 delivered orders
Average Order Value (AOV)	₹63,198	-	Per delivered order; high-ticket business
Cancellation rate	11.99% (5,996 of 50,000)	Below 10%	**Not met: 1.99 points over**
Return rate	30.77%	Below 8%	**Not met: definition to be reconciled**
Customer value, Premium vs Regular	1.47x (₹532,735 vs ₹361,871)	About 3x	**Not met: segments less distinct than expected**
Month-over-month GMV growth	0.51% average, Aug 2023-May 2025	-	Flat and volatile; June 2025 is a part-month
Top category share	Electronics 57.41% (₹1.64 bn)	Risk if above 60%	**Within limit by 2.59 points; risk remains live**
Payment failure rate	3.50% (1,748 of 50,000)	Below 2%	**Not met: about 1 in 29 attempts fails**
Inventory fill rate	92.20% (922 of 1,000 SKUs)	Above 95%	**Not met: 76 Low Stock, 2 Out of Stock**

2. Top 3 Business Findings

Finding 1 - Only about two-thirds of order value becomes delivered revenue

- **Evidence:** Net Revenue of ₹2.05 bn is 65.3% of ₹3.15 bn GMV. The other ₹1.09 bn (34.7%) sits in Cancelled (5,996 orders), Returned (3,933), Shipped (5,071) and Processing (2,501) orders.
- **Why it matters:** An average delivered order is worth ₹63,198, so each cancelled or returned order is a large loss. The cancellation rate of 11.99% is above the 10% ceiling.
- **Implication:** Shipped and Processing orders may still be delivered, so the 34.7% is not all lost. We have not calculated the rupee value for each status, and that's the first number needed to size the true leakage.

Finding 2 - Returns look like the largest operational gap, but the rate must be validated

- **Evidence:** 10,000 return records against 32,499 delivered orders give 30.77%, nearly four times the 8% target. Yet only 3,933 orders carry the status “Returned”, so the numerator and the denominator do not describe the same set of orders. Return reasons are spread out: Size Issue 11.96%, Changed Mind 11.50%, Damaged in Transit 11.43%. Five

reasons that point to product or delivery problems (damaged in transit, wrong product, defective, not as described, quality issue) cover 5,612 of 10,000 records, or 56.1% (analyst grouping of dashboard counts).

- **Why it matters:** The figure signals a probable quality or fulfilment problem on high-value orders, but its true size is uncertain.
- **Implication:** Fix the definition first, then target the reasons that management can influence. No single cause dominates, so one fix will not be enough.

Finding 3 - Revenue is flat and depends on one category

- **Evidence:** Electronics earns 57.41% of category revenue (₹1.64 bn), followed by Sports & Fitness 17.38% and Home & Kitchen 8.54%; the other seven categories each contribute 5.18% or less. All ten top products appear to be electronics items by name, at ₹31-42 million each. Monthly orders stay near 1,900-2,200, and GMV growth on complete months averages 0.51%, ranging from −17.26% (February 2025) to +19.61% (March 2025).
- **Why it matters:** A weak quarter in Electronics would move total results sharply, and there is no visible festive peak to offset it.
- **Implication:** Plan inventory and campaigns on observed demand, not on an assumed Diwali surge, and build the next-largest categories.

3. Key Risks Identified

Risk	Measured result vs benchmark	Potential consequence and what is not yet known
1. Order cancellations	11.99% (5,996 of 50,000) vs below 10%	Lost revenue on high-value orders. Cancellation reasons are not in the data; a link to payment failures has not been tested.
2. Returns	30.77% vs below 8% (definition unreconciled)	Refunds and possible product or delivery problems. Rate may be overstated or understated until the definition is aligned.
3. Payment failures	3.50% (1,748 of 50,000) vs below 2%	Revenue leakage at checkout. Whether failures cluster by gateway, bank or payment method has not been analysed.
4. Stock availability	Fill rate 92.20% vs above 95%; 76 Low Stock, 2 Out of Stock	Missed sales if low-stock items run out. The gap is mostly Low Stock, not stock-outs. Whether Low Stock should count against the rate is a definition to confirm.
5. Category concentration	Electronics 57.41% vs 60% threshold	Only 2.59 points of headroom; a downturn in one category would affect the whole business.
6. Weak customer-value differentiation	Premium ₹532,735 vs Regular ₹361,871 (1.47x vs about 3x); Premium has the lowest AOV (₹61,692); Inactive customers average ₹32,249	Segment labels may not reflect real value, which weakens targeting. Segment definitions, recorded spend or the 3x benchmark may need review.
7. Data limitations	June 2023 and June 2025 are part-months; the return definition is open; the first data-quality review covered 6,543 orders, while the KPIs use 50,000	June 2025 GMV (₹103.6 million vs ₹135.8 million in May) is not a like-for-like decline. The first review's record-matching results are not relied on here and should be re-run on the full files.

4. Growth Opportunities

- **Build the next-largest categories.** Sports & Fitness (17.38%, ₹0.50 bn) and Home & Kitchen (8.54%, ₹0.24 bn) are the only categories above 8% besides Electronics. Growing them reduces concentration risk.
- **Protect the proven products.** The top 10 products each bring ₹31-42 million. Checking that none are low on stock safeguards the revenue already being earned.
- **Raise repeat purchasing.** AOV is similar across segments (₹61,692 to ₹64,951), yet average lifetime spends ranges from ₹186,179 (Budget) to ₹532,735 (Premium). This suggests, but does not prove, that order frequency drives the difference. The 480 Inactive customers (4.80%) and 1,488 New customers (14.88%) are the clearest groups to re-engage or convert.
- **Concentrate on the largest markets.** Uttar Pradesh (9,507 orders) and Maharashtra (8,179) together generate about 35.4% of all orders, which supports prioritising delivery capacity and support there. Profitability by state has not been measured.
- **Smooth the payment experience.** UPI (35.14% of orders), Credit Card (20.01%) and Debit Card (15.25%) dominate. Reaching the 2% failure target means fewer lost checkouts; the rupee value has not yet been sized.

5. Actionable Recommendations

	Recommended action	Evidence	Expected benefit	KPI to monitor
1 Urgent	**Agree one return-rate definition, then cut preventable returns.** Confirm which order statuses the 10,000 return records belong to and recalculate. Then review packaging for transit damage, product-listing accuracy and quality checks, and size guidance.	30.77% vs below 8%; 56.1% of returns fall under five product or delivery reasons; Size Issue is the top reason (11.96%).	A trusted baseline and fewer refunded high-value orders.	Return rate on the agreed definition (below 8%); returns by reason, monthly.
2 Urgent	**Diagnose cancellations and payment failures together.** Split cancellations by category, payment method, order stage and month; split failed payments by gateway, bank and method; test whether failures precede cancellations; fix the largest concentration first.	Cancellations 11.99% vs below 10%; payment failures 3.50% vs below 2%.	Recovers orders now lost and identifies real causes.	Cancellation rate (below 10%); payment failure rate (below 2%).
3 High	**Restock low-stock products.** Replenish the 76 Low Stock and 2 Out of Stock SKUs, best sellers and top-10 products first. A fill rate above 95% needs at least 951 of 1,000 SKUs in stock, i.e. 29 more than today.	Fill rate 92.20% vs above 95%.	Avoids lost sales and reaches the target.	Inventory fill rate (above 95%); number of Out of Stock SKUs.
4 Medium	**Reduce reliance on Electronics.** Set growth targets for Sports & Fitness and Home & Kitchen, and raise an alert when Electronics share approaches 60%.	Electronics 57.41%; average growth on complete months 0.51%.	More resilient and diversified revenue.	Electronics share (below 60%); revenue growth of other categories.
5 Medium	**Review customer segments and re-engage.** Check how segments and total spend are defined, then run win-back offers for Inactive customers and next-purchase offers for New customers.	Premium 1.47x Regular vs about 3x; Inactive average ₹32,249.	Sharper targeting and recovered dormant customers.	Premium-to-Regular spend ratio; Inactive share (4.80% today); repeat orders per customer.

(The figure of 29 SKUs is derived: 951 required minus 922 in stock.)

6. Conclusion

IndiaKart has a sizeable, steady order base, but only about two-thirds of order value reaches delivered revenue, and five of six benchmarked KPIs are off target. The immediate priorities are to fix the return-rate definition and start reducing returns, to find out why orders are cancelled and payments fail, and to restock the 76 low-stock products. In parallel, management should report growth on complete months only and begin building categories beyond Electronics.